



hard work. But if you got a gift of the same amount of money you would treat it very differently. You may spend it lavishly. Mentally, to you this is free money, but your salary money is not. You earned it, hence mentally you put it into a different account.

Quantity of the Money in Question

We create mental accounts according to the quantity of the money and treat them differently. A tax refund is a tax deferral payment by the tax authorities. But when we get a tax refund of say Rs. 1000 we are likely to spend that without giving it due thought. However, a tax refund of Rs. 20000 will set us thinking whether to deposit it in a bank, or buy mutual funds and stocks. We do this because small amounts go into the miscellaneous account and big amounts go into important decision accounts.

Large Purchases V/s Small Purchases

When you want to buy a fridge you make a lot of enquiries before making the purchase. You check out models and prices and even brands. When you have found one you like you do some hard bargaining and maybe get a discount of Rs. 500 on a fridge costing Rs. 20,000. That makes you happy, but do you do the same when shopping for groceries? Do you realise that if you put in a little effort and are able to save Rs. 10 a day, at the end of the year it would add up to a savings of Rs. 3500? Compare this with the saving of Rs. 500 on an expense that may not recur for the next 10 years or so. Many people are cost conscious when making large financial decisions, but they relax their discipline when it comes to small purchases. But that's where the difference matters.

Cash V/s Credit Cards

Today credit cards are a status symbol. Everyone wants one, and every bank is aggressively marketing it. It is a big profit earner for the bank and a hole in the pocket for the user who is not aware of the harm it can cause. Remember the example of Sunil and John. Sunil realised the value of money only when he paid the bill in cash.